

Member ID: _____

Time: _____

Rank: _____



PERSONAL FINANCIAL MANAGEMENT (165)

NATIONAL 2022

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Short Answer (25 @ 3 points each) _____ (75 points)

TOTAL POINTS _____ (*135 points*)

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

The number of decimal places used in calculations and in the reporting of your answers is very important. Below are guidelines to use as you take this test. If a problem varies from these guidelines, it will be noted in the problem.

PERCENTAGE PROBLEMS

- Round to the nearest tenth when working with percentages.
Example: Use 2.3% NOT 2%
Example: An answer of .9638 should be written as 96.4%

INTEREST

- All interest rates are stated in one-year simple interest, *unless otherwise noted*.
- Interest is to be calculated on 360 days.

DOLLAR AMOUNTS

- All dollar amounts must be rounded to the second place (nearest cent).
Example: \$35.9765 to \$35.98

Multiple Choice:

Select the letter that *best* answers the following questions.

1. Which of the following investments is actually a loan made to a company?
 - a. Corporate bond
 - b. Municipal bond
 - c. Capital stock
 - d. Preferred stock
2. What car loan will typically have the lowest APR?
 - a. Used car loan for four years
 - b. Used car loan for five years
 - c. New car loan for four years
 - d. New car loan for five years
3. You buy a stock for \$25.00 per share. The stock decreases by 10% in month one, and then increases by 10% in month two. What is the new price?
 - a. \$22.50
 - b. \$24.75
 - c. \$25.00
 - d. \$25.25
4. What advantage does preferred stock give an investor over common stock?
 - a. Voting rights
 - b. Better returns
 - c. Management decisions
 - d. 1st right to dividends
5. You purchase an 80/20 health insurance plan that includes a \$200 deductible and an out-of-pocket annual maximum of \$4,000. How much will you pay if you have one medical treatment costing \$800 this year, ignoring premiums paid?
 - a. \$160
 - b. \$200
 - c. \$320
 - d. \$360
6. The respective EPS and prices of different stocks are shown below. Which stock price would appear to be the riskiest?
 - a. EPS 2.95, Stock price \$50.25
 - b. EPS 4.23, Stock price \$93.90
 - c. EPS 0.38, Stock price \$63.17
 - d. EPS 0.77, Stock price \$12.20

7. The FDIC will insure which of the following?
 - a. Government Bond
 - b. Corporate Stock
 - c. Certificate of Deposit at a commercial bank
 - d. 401K
8. When purchasing a zero coupon bond with a maturity value of \$1,000, what price would you most likely be expected to pay?
 - a. \$ 800
 - b. \$1,000
 - c. \$1,200
 - d. You can't purchase zero coupon bonds
9. Which investment strategy will make you money when a stock price falls?
 - a. Shorting a stock
 - b. Buying long on a stock
 - c. Buying on margin
 - d. Creating a limit order
10. If a person declares Chapter 7 bankruptcy, how long will it stay on their credit report?
 - a. 7 years
 - b. 10 years
 - c. 13 years
 - d. Forever
11. The U.S. Federal Reserve Board decides to raise interest rates. Predict the likely affect to the stock market.
 - a. The market will likely fall.
 - b. The market will likely rise.
 - c. Interest rate fluctuations have no effect on the stock market.
 - d. The Federal Reserve can't change interest rates, only Congress can.
12. The process an insurance company uses to evaluate risks involved with selling an insurance policy to an individual or group is _____.
 - a. coverage
 - b. probability
 - c. underwriting
 - d. premium
13. A bond sold at a price below face value, which returns to face value at maturity, is a _____ bond.
 - a. premium
 - b. discount
 - c. treasury
 - d. savings

14. What is the face value of a term life insurance policy?
 - a. The premiums paid by the insured each month.
 - b. The value of the policy at the end of the term.
 - c. The amount of money the beneficiary would receive if the insured were to die during the term.
 - d. The amount of money that can be borrowed on the policy.
15. What is true about corporate bond ratings and the interest offered to investors?
 - a. The higher the rating, the higher the interest.
 - b. The higher the rating, the lower the interest.
 - c. The lower the rating, the lower the interest.
 - d. There is no correlation between the rating and the interest of the bond.
16. Which of the following is **not** a defined contribution retirement plan?
 - a. 401 (k)
 - b. Roth IRA
 - c. Traditional IRA
 - d. Pension plan
17. This law gives you the right to a free credit report annually.
 - a. Equal Credit Opportunity Act
 - b. Credit Card Act of 2009
 - c. Fair Credit Reporting Act
 - d. Fair Debt Collection Practices Act
18. What is a disadvantage of investing into a mutual fund?
 - a. Lack of expertise within mutual fund management team
 - b. No diversification
 - c. Fees are typically higher than other investments
 - d. Higher risk than typically investing into individual stocks
19. Interest on the interest is better known as what?
 - a. Simple Interest
 - b. Deferred Interest
 - c. Mature Interest
 - d. Compound Interest
20. You will improve your credit score by _____.
 - a. paying only the minimum amount on your credit card
 - b. maintaining a savings and checking account
 - c. applying for multiple credit cards
 - d. being delinquent on your auto loan payments

21. If you are married with two children, how many allowances can you claim on your Form W4?
- a. Only 4
 - b. Only 2
 - c. 2 or 4
 - d. 0, 1, 2, 3, or 4
22. What is the deadline for employers to send employees a Form W2 each year?
- a. January 31
 - b. March 31
 - c. April 15
 - d. December 31
23. What is the number of employees required before a business has to offer health insurance?
- a. 1
 - b. 20
 - c. 50
 - d. 100
24. A federal social insurance program that provides health insurance for those over the age of 65 is _____.
- a. Medicare
 - b. Social Security
 - c. the Affordable Care Act
 - d. Unemployment Insurance
25. Which mutual fund category would be considered the riskiest?
- a. S&P 500 Index Fund
 - b. Small Cap Growth Fund
 - c. Income Fund
 - d. Large Cap Value Fund
26. Which of the following is a voluntary deduction from your paycheck?
- a. Stock Purchase Plan
 - b. Social Security Tax
 - c. Federal Income Tax
 - d. Federal Unemployment
27. What type of auto insurance will cover the cost to repair the car you hit?
- a. Comprehensive
 - b. Medical
 - c. Collision
 - d. Liability

28. Currently, your annual salary is \$62,500. Assuming you receive a 3.5% raise, and your effective tax rate is 31%, what will be your biweekly net pay?
- a. 1,658.65
 - b. 1,716.71
 - c. 1,859.77
 - d. 2,487.98
29. The most advantageous compounding period for investors would be _____.
- a. Annually
 - b. Quarterly
 - c. Monthly
 - d. Daily
30. Which loan would most likely have the highest interest rate?
- a. Student loan
 - b. Payday loan
 - c. Car loan
 - d. Mortgage

Application Knowledge:

Read each problem and answer the questions in the space provided.

1. Tommy Smith purchases an \$8,000.00 coupon bond at the beginning of 2022 for \$7,200. The coupon rate on the bond is 4.5%, payable semi-annually. At the end of 2022, the bond is trading on the open market for \$7,290.
 - a. Did Tommy buy the bond at a discount or premium? _____
 - b. How much interest did Tommy receive on June 30, 2022? _____
 - c. What is the yield on the bond on December 31, 2022? _____
 - d. Upon maturity, how much will Tommy receive? _____
2. Andrea Kingston has health insurance coverage that includes an annual \$1,000 deductible, an 80/20 coinsurance after the deductible, and an out-of-pocket maximum of \$2,500 annually. She incurs the following medical services for 2022:
 - Emergency room x-rays in January, cost of \$600 in addition to copay
 - Outpatient procedure in March, cost of \$2,000 in addition to copay
 - Doctor visit in November, cost of \$100 in addition to copay

Andrea must pay a copay for each service, which does not count toward the deductible. The January and March copays were \$100 each, and the November copay was \$50.

- a. How much in total did Andrea pay for her January x-rays? _____
 - b. How much in total did Andrea pay for her March procedure? _____
 - c. How much in total did Andrea pay for the November visit? _____
 - d. Did Andrea hit her out-of-pocket maximum during 2022? _____
 - e. How much in total did Andrea pay for her 2022 health care services? _____
3. Emilio Ramirez invests into the following mutual funds at the beginning of 2022:
 - S&P 500 index fund, 90 shares, NAV \$48.00, No load
 - Large cap value fund, 50 shares, NAV \$94.40, 3% deferred load
 - Small cap growth fund, 100 shares, NAV \$37.00, 2% front load
 - a. What was the total cost of the S&P 500 index fund? _____
 - b. What was the total cost of the Large cap fund? _____

- c. What was the total cost of the Small cap fund? _____
 - d. If the S&P 500 fund increased by 9.5% during 2022, what would the NAV be on December 31st, 2022? _____
 - e. The large cap value fund increased by 10% during 2022. If Emilio sold all his shares on December 31st, 2022, how much would he receive? _____
 - f. The small cap fund increased by 8%. What is the NAV on December 31st, 2022? _____
 - g. Before the sell, what is the value of Emilio's portfolio on December 31st, 2022? _____
4. Javon Marshall will enter into a loan agreement on June 30th, 2022. He needs to borrow \$2,000. Javon is looking at three different loan structures and will choose the one with the lowest maturity value. His three options are:
 - Option A, 2 years simple interest, 3.75%;
 - Option B, 2 years compounded annually, 3.3%;
 - Option C, 2 years compounded semi-annually, 3%.
 - a. What is the maturity value of Option A? _____
 - b. What is the maturity value of Option B? _____
 - c. What is the maturity value of Option C? _____
 - d. Which loan should Javon use? _____
5. Frank purchases a Treasury bill with a face value of \$5,000 for a purchase price of \$4,750. The T-bill will mature in 26 weeks.
 - a. How much will Frank earn on the investment? _____
 - b. What is the discount yield on the T-bill? _____
6. Kylie Simpson works as an accountant for one of the Big Four firms. Currently she earns a salary of \$85,360. Her company offers a 50% match on her 401(k) plan, one in which she has 4% of her salary withheld. Kylie is paid biweekly.
 - a. How much does Kylie put into the 401(k) each pay period? _____
 - b. How much does the firm put into the 401(k) each pay period? _____
 - c. If Kylie receives a 5.5% increase in salary for 2023, what will be the total amount of money invested into the 401(k) for the year? _____